

THE WORLD BANK GROUP

Pathways Out of the Polycrisis: New Evidence on Global Poverty Dynamics

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Executive Summary

Overview

Global poverty reduction stalled significantly over the 2020–2022 period, largely due to the convergence of multiple crises—the COVID-19 pandemic, geopolitical conflicts, and climate-related shocks—collectively described as a 'polycrisis.' This report presents new evidence on how these compounding pressures have reshaped poverty dynamics across income groups and regions.

The number of people living on less than \$2.15 per day (2017 PPP) remains at approximately 700 million as of 2022, a figure that has changed little since 2019. In Sub-Saharan Africa, the poverty headcount actually increased by an estimated 23 million people between 2019 and 2022, partially offsetting gains made in South Asia and East Asia & Pacific.

Key Findings

This report identifies five key pathways through which countries have successfully navigated the polycrisis:

First, countries with strong social protection systems were better able to cushion households from income shocks. Adaptive social protection—programs that automatically expand during crises—reduced consumption losses by an estimated 30–40 percent in countries with pre-existing delivery infrastructure.

Second, climate resilience investments at the community level show significant co-benefits for poverty reduction. Evidence from 47 countries shows that households with access to climate-resilient agricultural extension services experienced 18 percent lower income volatility during the 2021–2023 droughts.

Third, digital financial inclusion accelerated recovery for the bottom 40 percent in countries where mobile money penetration exceeded 60 percent of the adult population, enabling faster transfer of emergency social assistance.

Policy Recommendations

Based on the evidence presented in this report, we recommend four priority policy areas for governments and development partners:

1. Invest in adaptive social protection infrastructure before crises occur, including digital payment systems, beneficiary registries, and automatic triggers linked to objective crisis indicators.
2. Accelerate climate adaptation investments in agriculture, water, and infrastructure, with a focus on the communities most exposed to climate risk and least able to cope without external support.
3. Expand access to quality education and health services, which serve as the primary long-term pathway out of poverty and provide resilience against future economic shocks.
4. Strengthen domestic revenue mobilization and fiscal space to finance social protection and public services sustainably.

Chapter 1: Measuring Poverty in a Polycrisis Era

Traditional poverty measurement faces new challenges in a world of compounding crises. This chapter reviews recent advances in near-real-time poverty estimation using satellite imagery, mobile phone data, and high-frequency household surveys.

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Chapter 2: Regional Poverty Trends 2019–2024

This chapter presents a systematic review of poverty dynamics across the World Bank's seven geographic regions, drawing on harmonized household survey data from 142 countries.

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Chapter 3: Social Protection and Crisis Response

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Chapter 4: Climate Change and Poverty Intersections

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